

SUSPICIOUS ACTIVITY REPORTING (SAR) & QUALITY CONTROL PROCEDURES

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IMPORTANT: This document contains detailed procedures for the filing of Suspicious Activity Reports (SARs). Knowledge of these procedures is RESTRICTED to authorised Financial Crime Prevention personnel and the MLRO function. Disclosure of SAR-related information to any customer or third party may constitute a criminal tipping-off offence under Section 26 of the Norwegian Money Laundering Act 2018.

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1. PURPOSE AND SCOPE

These procedures govern the identification, internal reporting, assessment, and external filing of Suspicious Activity Reports (SARs) at Nordvik Bank ASA. They also establish the Quality Control (QC) framework that ensures SAR filings and internal STRs meet the required standards of completeness, accuracy, timeliness, and analytical quality.

Effective SAR reporting is a critical public duty. The Bank's SAR submissions contribute to the Norwegian Financial Intelligence Unit's (FIU) capacity to detect, investigate, and disrupt money laundering, terrorist financing, and serious organised crime. The quality of each filing directly affects its utility to law enforcement.

These procedures apply to:

- All employees who have reasonable grounds to suspect that a transaction or activity relates to money laundering or terrorist financing
- The Money Laundering Reporting Officer (MLRO) and Deputy MLRO
- The Financial Crime Prevention function
- The Compliance function
- Any third-party agent, correspondent, or partner acting under the Bank's AML/CFT programme

2. LEGAL FRAMEWORK

The Bank's SAR obligations arise from the following legal and regulatory framework:

Source	Key Provision	Nordvik Bank Obligation
Money Laundering Act 2018	Section 26 Duty to report suspicious	File SAR with FIU if the Bank knows or suspects that an activity relates to the proceed
Money Laundering Act 2018	Section 27 Non-disclosure prohibition	Criminal offence to disclose to any person that a SAR has been or is being considere
Money Laundering Act 2018	Section 28 Consent regime	Must seek consent from FIU before completing certain transactions where SAR has be
Money Laundering Act 2018	Section 29 Employee reporting protection	Staff who report in good faith are protected from liability
FATF Recommendation 16	Wire transfer reporting	SAR obligation extends to suspicious wire transfers
EU 4AMLD, Article 33	Reporting obligation	Alignment with EU framework for cross-border SAR co-ordination
Finanstilsynet Circular 7/2019	Quality standards for SAR filing	SARs must be complete, timely, and contain sufficient information for effective FIU an

3. ROLES AND RESPONSIBILITIES

Money Laundering Reporting Officer (MLRO)

Role Holder: Ragna Solberg, Head of Financial Crime Prevention

- Sole authority to make external SAR filings to FIU
- Reviews all internal STRs and makes the filing decision
- Maintains the SAR register and decision log
- Authorises consent requests under the consent regime
- Receives and responds to law enforcement requests and production orders
- Reports to the CCO and Board on SAR volumes, quality, and trends
- Ensures MLRO function is adequately resourced and trained

Deputy MLRO

Role Holder: Erik Dahl, Senior AML Manager

- Acts as MLRO in the absence of the primary MLRO
- Reviews and quality-checks internal STRs
- Maintains oversight of the investigation workflow and SLA adherence
- Deputises for all MLRO functions with full authority

Financial Crime Analysts

Role Holder: FC Prevention Team

- Conduct alert investigations and prepare internal STRs
- Gather and document evidence in case files
- Escalate internal STRs to MLRO within required timeframes
- Do not have authority to decide on external SAR filing

All Employees

Role Holder: Bank-wide obligation

- Duty to report suspicion to the MLRO promptly
- Must not tip off the customer or any third party
- Must not conduct the suspicious transaction until cleared by MLRO (where applicable)
- Protected from liability for good-faith reporting

4. INTERNAL SUSPICIOUS TRANSACTION REPORT (STR) PROCESS

The internal STR is the mechanism by which any employee reports suspicion to the MLRO. It is the first step in the SAR process and is confidential. The internal STR does not itself constitute an external SAR filing.

4.1 Who Must File an Internal STR?

Any employee who knows, suspects, or has reasonable grounds to suspect that a transaction or activity relates to:

- The proceeds of criminal conduct of any kind (money laundering)
- Terrorist financing or the provision of funds to a proscribed organisation
- Fraud involving amounts or patterns that suggest organised or systemic activity
- A customer relationship that has been established through deception or identity fraud
- Any other activity that the employee believes may be of interest to the FIU or law enforcement

The standard is **suspicion**, not certainty or proof. If an employee has a 'niggling feeling' that something is wrong and cannot satisfactorily explain it to themselves, they should file an internal STR.

IMPORTANT: Failure to report a suspicion is a regulatory breach and potentially a criminal offence. It is always better to report a suspicion that turns out to be innocent than to fail to report a genuine suspicious activity.

4.2 How to File an Internal STR

Internal STRs are submitted via the secure SAR Portal within the Financial Crime Case Management System (Actimize RCM). The portal is accessible to all employees at <https://fcportal.nordvikbank.no/sar> (internal network only).

Walk-in or telephone reports are also accepted directly to the MLRO or Deputy MLRO and must be followed by a written STR within 4 business hours.

The internal STR must include (see Annex A for full template):

Reporter Information: Full name, department, job title, contact details, date and time of report

Subject of Suspicion: Customer name(s), account number(s), date of birth, address, and any other identifying information

Description of Suspicious Activity: What happened? What transactions or behaviour gave rise to the suspicion? Specific dates, amounts, and reference numbers must be included.

Why It Is Suspicious: What makes this activity unusual or suspicious? How does it differ from the customer's normal profile? What explanation, if any, has the customer given?

Relevant Background: Customer KYC information; transaction history; any prior STRs or alerts relating to this customer

Has Any Action Been Taken?: Have any transactions been stopped, delayed, or declined? Has the customer been contacted?

Supporting Documents: List all documents attached to the report: account statements, transaction records, KYC file extracts, alert case file references, correspondence

4.3 STR Timeframes

Scenario	Filing Deadline	Escalation if Deadline Missed
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Suspicion identified through alert investigation	Within 24 hours of suspicion identified	Deputy MLRO notified; CCO within 4 hours
Suspicion identified by customer-facing staff	Within 4 business hours of identification	Immediate verbal escalation to MLRO; written STR to follow
Suspicion identified at onboarding	Before proceeding further with transaction	Immediate MLRO to advise on whether to proceed
Consent required before completing transaction	Consent required before completing transaction	Consent required before completing transaction; MLRO notified at once
Law enforcement production order received	Within 1 business hour of receipt	MLRO + CCO + Legal notified simultaneously

5. MLRO DECISION-MAKING FRAMEWORK

Upon receiving an internal STR, the MLRO or Deputy MLRO must review it and make a documented filing decision. The decision framework below provides structured guidance for making the filing decision consistently and defensibly.

5.1 MLRO Review Checklist

Before making the filing decision, the MLRO must verify:

- Is the STR complete? Does it contain all mandatory fields? If not, request additional information from the reporter.
- Has all available information about the subject been gathered? (CDD file, transaction history, prior alerts, screening results, adverse media)
- Is there a credible innocent explanation for the activity? Has that explanation been properly assessed and documented?
- Does the activity match any known ML/TF/fraud typology? (Reference Annex E – Typology Reference Cards)
- What is the customer's risk profile? Is this behaviour consistent with their assessed risk level?
- Have there been prior STRs or SARs relating to this customer? What was the outcome?
- Is there a law enforcement interest (production order, informal enquiry, JMLIT intelligence) that affects the decision?
- Does any aspect of this case require legal advice before a decision is made?
- Is there a consent requirement (i.e., does a transaction need to proceed and must FIU consent be sought first)?

5.2 Decision Outcomes

Decision	Code	Criteria	Required Documentation
File SAR	D-SAR	Suspicion cannot be explained; reasonable grounds suspected ML/TF/fraud; case file SAR draft filing	MLRO Decision Log; ML/TF/fraud case file; SAR draft filing review; filing time
No File – Explained	D-NEX	Activity fully explained by KYC information; satisfied decision on explanation fully explained	SAR Decision Log; explanation fully explained; case file closed
No File – Insufficient Evidence	D-ME	Suspicion exists but insufficient evidence to file SAR	MLRO Decision Log; investigation plan; review date set
Deferred – Pending Info	D-DEF	Additional information requested; decision deferred pending information request documented; maximum 5-day	MLRO Decision Log; information request documented; maximum 5-day
Deferred – Consent Required	D-COM	Transaction must be suspended pending FIU consent	MLRO Decision Log; consent application filed; customer management
Escalated to Law Enforcement	D-LEP	Immediate risk of serious crime; proactive law enforcement referral	MLRO Decision Log; referral template; CCO and Legal notified

5.3 MLRO Decision Timeframes

STR Priority	MLRO Review Deadline	Filing Decision Deadline
P1 – Critical (immediate risk)	2 hours	Same business day
P2 – High	4 hours	Within 24 hours
P3 – Medium	1 business day	Within 3 business days
P4 – Low	3 business days	Within 5 business days

6. SAR FILING PROCEDURES

External SARs are filed with the Norwegian Financial Intelligence Unit (FIU), operated jointly by Finanstilsynet and ØKORIM (the Norwegian National Authority for Investigation and Prosecution of Economic and Environmental Crime).

6.1 Filing System

SARs are filed electronically via the FIU's secure reporting portal (Altinn/FIU Portal). The MLRO and Deputy MLRO hold authorised access credentials. The portal requires two-factor authentication using BankID. Backup paper filing procedures are maintained in the event of system unavailability – see Section 6.5.

6.2 Mandatory SAR Content

Every SAR filed must contain the following elements to meet the FIU's minimum quality standards:

Reporting Entity Information: Nordvik Bank ASA; LEI code; MLRO name and contact; filing date and reference

Subject Information: Full name; date of birth; address; nationality; passport/ID number; customer account numbers; all known aliases

Entity Information (where applicable): Registered name; company number; UBOs; directors; address; industry code

Suspicious Activity Narrative: A clear, factual, chronological account of the suspicious activity. Must answer: WHO did WHAT, WHEN, HOW, and WHY it is suspicious.

Transaction Details: Date, amount, currency, direction, channel, counterparty details, and reference for each suspicious transaction

Grounds for Suspicion: The specific basis for filing. Must reference the applicable typology and legal basis. Mere opinion is insufficient.

Prior SARs: Reference to any prior SAR filed in relation to the same subject

Consent Request (if applicable): If consent to proceed with a transaction is required, this must be specifically flagged

Supporting Documentation: Transaction records, KYC documents, and other evidence attached or referenced

6.3 Narrative Quality Standards

The suspicious activity narrative is the most important part of the SAR. The following standards apply:

- Write in plain English – avoid jargon and abbreviations that the FIU analyst may not recognise
- Use specific facts – amounts, dates, account numbers, names – not generalities
- Structure chronologically where possible: background → activity → why suspicious
- Explain what is unusual about the activity relative to the customer's known profile
- Reference the applicable typology (e.g., 'this activity is consistent with structuring / money mule use / third-party funds')
- Do not include conclusions about guilt – this is for law enforcement to determine
- Do not include information that cannot be substantiated from the case file
- Keep to relevant facts – do not pad with irrelevant background
- SARs that are vague, incomplete, or contain unsubstantiated conclusions will be returned by QC for revision before filing

6.4 SAR Filing Workflow

Step	Action	Responsible	System	Timeframe
1	MLRO makes D-SAR decision and logs in Decision Log	MLRO	Actimize RCM	Immediately
2	Draft SAR prepared using standard template	FC Analyst (assigned by MLRO)	Actimize RCM / SAR Portal	Within decision timeframe
3	First QC review – completeness and accuracy	QC Reviewer	QC Checklist (Annex B)	Within 4 hours of draft completion
4	Revisions made and MLRO final review	FC Analyst + MLRO	Actimize RCM	Within 2 hours of QC return
5	MLRO approves final SAR	MLRO	Actimize RCM – MLRO sign-off	Before submission
6	SAR submitted via FIU Portal	MLRO or Deputy MLRO	FIU / Altinn Portal	Immediately upon approval
7	FIU reference number received and logged	MLRO	SAR Register	Upon receipt
8	Account management decision communicated to client	MLRO or Head of FC → Email	Email / Actimize RCM	Same day as filing
9	Case file archived	FC Operations	DMS (Document Management System)	Within 1 business day

7. CONSENT REGIME

IMPORTANT: The consent regime applies when the Bank wishes to complete a transaction that is the subject of a SAR filing. Completing the transaction without consent may constitute a money laundering offence. DO NOT proceed with the transaction until FIU consent is received or the statutory period expires.

Under the Money Laundering Act 2018, §27, the Bank must seek consent from the FIU before completing a transaction where:

- A SAR has been filed relating to that specific transaction
- The transaction has not yet been executed
- The Bank wishes to proceed with the transaction despite the suspicion

7.1 Consent Process

Step	Action	Timeframe
1	MLRO files SAR with consent request flagged in FIU portal	Immediately upon decision
2	FIU acknowledges receipt	Usually within 7 days
3	FIU grants or refuses consent	Within 7 working days of acknowledgement
4	If consent granted: proceed with transaction; document consent reference	Within 24 hours of consent
5	If consent refused: do not proceed; review account management options	Immediately
6	If no response within 7 days of filing: may proceed (statutory right)	Day 8 from filing – document clearly

7.2 Customer Communication During Consent Regime

Where a transaction is being held pending consent, the Bank may need to communicate with the customer about the delay. The following rules apply:

- Do NOT tell the customer that a SAR has been filed or is under consideration – this is a criminal offence (tipping-off)
- Acceptable reasons to give the customer: 'We are conducting additional checks on this transaction'; 'There are technical processing delays'; 'We require additional documentation for compliance purposes'
- Any communication with the customer about a delayed transaction must be approved by the MLRO
- Where the delay cannot be sustained without the customer becoming suspicious (and where this might prejudice a law enforcement investigation), the MLRO must consult with the FIU and Legal

8. TIPPING-OFF PROHIBITION

IMPORTANT: Tipping off is a CRIMINAL OFFENCE under Section 26 of the Norwegian Money Laundering Act 2018. Any employee who discloses that a SAR has been filed, or that a filing is under consideration, may be personally prosecuted.

The tipping-off prohibition applies from the moment an employee forms a suspicion, not only after a SAR is filed. Prohibited conduct includes:

- Telling the customer that their account is under investigation
- Telling the customer that a report has been made to authorities
- Hinting that the customer should change their behaviour or move their account
- Disclosing information to the customer's lawyer, accountant, or other representative that might lead to a tip-off
- Disclosing SAR information to third parties, including other banks or correspondent banks, without MLRO approval
- Discussing SAR cases with colleagues who do not have a need-to-know

If an employee is asked directly by a customer whether a report has been made, they should respond: 'I am not able to comment on the Bank's internal compliance procedures.' Employees must report any customer questioning about reports to the MLRO immediately.

Exception: Disclosure between institutions within the same group is permitted for the purpose of preventing ML/TF, subject to the recipient institution being subject to equivalent AML/CFT obligations.

9. POST-FILING ACCOUNT MANAGEMENT

After a SAR is filed, the MLRO must determine the appropriate account management approach. The account management decision is communicated to the relevant business line through designated channels only, without disclosing the existence or content of the SAR.

Scenario	Default Account Action	MLRO Authority Required	Notes
FIU consent granted	Proceed as normal; enhanced monitoring	No	Log consent reference
FIU consent refused	Do not proceed with transaction; restrict account	Yes	Consult Legal; consider exit
Law enforcement has active investigation	Investigate account; do not disrupt	Yes	FIU/ØKORIM to advise; covert monitoring
No law enforcement interest; high risk	High risk relationship in orderly manner	Yes	Follow customer exit procedure; do not tip off
Repeated suspicious activity (escalate)	Escalate monitoring; prepare for exit	Yes	Monthly MLRO review
Customer considered high risk	Immediate account restriction	Yes + CCO	Coordinate with FIU; asset preservation

11. QUALITY CONTROL FRAMEWORK

The Quality Control (QC) framework ensures that the Bank's SAR function consistently meets the standards required by the FIU and expected by Finanstilsynet. QC operates at both the individual case level (case file QC) and the programme level (systemic QC).

11.1 QC Scope and Coverage

Item	QC Coverage	Frequency	Conducted By
Internal STRs (all)	100%	Real-time on receipt	MLRO / Deputy MLRO
MLRO No-File Decisions (D-NE) 20% sample	100%	Monthly	QA Reviewer
SAR Drafts (pre-filing)	100%	Before each filing	QA Reviewer
Filed SARs (post-filing review)	100%	Within 5 days of filing	QA Reviewer + MLRO
Investigation Case Files (P1/P2)	100%	Within 7 days of closure	QA Reviewer
Investigation Case Files (P3/P4)	25% sample	Monthly	QA Reviewer
MLRO Decision Log	100%	Monthly	Head of Financial Crime
SAR Register Completeness	100%	Monthly	Compliance Operations
FIU Feedback / Requests for Further Info	100%	Real-time	MLRO

11.2 QC Scoring Rubric – Individual Case Assessment

Each SAR and investigation case file is assessed against the following quality criteria. Each criterion is scored 1–4:

1 = Inadequate (significant gap; regulatory risk) | **2 = Partial** (gaps present but not critical) | **3 = Satisfactory** (meets minimum standard) | **4 = Excellent** (exceeds standard; best practice)

Quality Criterion	Weight	Scoring Guidance
Completeness of STR / SAR	20%	All mandatory fields completed? Supporting documents attached? Subject information complete?
Timeliness	15%	Filed within required timeframe? MLRO review completed within SLA? No unexplained delays?
Narrative Quality	25%	Clear, factual, chronological? Specific amounts and dates cited? Explains why activity is suspicious?
Analytical Depth	20%	Has the investigator considered all available information? Counterparty checks completed? PEP/SAN checked?
Accuracy	10%	Are the facts stated correct? Cross-checked against source documents? No contradictions?
MLRO Decision Quality	10%	Is the decision clearly reasoned? Is evidence cited? Is the decision proportionate and consistent?

Overall QC Score = Weighted average of criteria scores x 25 (to produce a score out of 100). Target: ≥75 for all cases; ≥85 programme average.

11.3 QC Outcome Actions

Overall Score	Rating	Required Action
85–100	EXCELLENT	No action; flag as QC exemplar for training use

75–84	SATISFACTORY	Minor feedback to investigator; no formal escalation
60–74	REQUIRES IMPROVEMENT	Written feedback to investigator; coaching session; supervisor review of next 3 cases by same investigator
45–59	INADEQUATE	Formal capability improvement plan; restricted case assignment; MLRO notification
<45	CRITICAL FAILURE	Case file remediated before closure; mandatory retraining; HR referral if pattern of failure

12. KPIs & MANAGEMENT INFORMATION

KPI	Definition	Target	Frequency	Owner
STR Processing Rate	% of internal STRs reviewed by MLRO within SLA	≥ 95%	Monthly	MLRO
SAR Filing Rate	% of escalated STRs resulting in SAR filing (quantity)	≥ 95% (no target for quality)	Monthly	MLRO
SAR Timeliness	% of SARs filed within 3 business days of D-SAR decision	≥ 95%	Monthly	MLRO
QC Pass Rate	% of SAR/case files achieving QC score of 7/5	≥ 90%	Monthly	QA Reviewer
QC Average Score	Average weighted QC score across all reviewed cases	≥ 85/100	Monthly	QA Reviewer
FIU Feedback Rate	% of SARs receiving FIU request for tracked information	Tracked (information)	Quarterly	MLRO
Law Enforcement Feedback	Number of SARs that have contributed to investigations (known)	Tracked	Quarterly	MLRO
Staff STR Submission	Number of STRs received from business units (positive)	Tracked (positive)	Quarterly	MLRO
Training Completion	% of applicable staff with current AML training certificate	100%	Quarterly	HR / Compliance

13. TRAINING & COMPETENCY

Investigator competency is a key driver of SAR quality. The following minimum training requirements apply to roles involved in the STR/SAR process:

Role	Required Training	Frequency	Competency Assessment
All employees	AML Awareness + STR Filing (how and when to report)	Annual	Annual online assessment (pass mark 80%)
FC Analysts (junior)	AML Investigations Foundation; SAR Writing Workshop	Annual 4-week induction	Supervised case completion; QC score monitoring
FC Analysts (senior)	Advanced Typologies; SAR Narrative Masterclass; MLRO Readiness	Annual	QC score maintained; case complexity progression
MLRO / Deputy MLRO	MLRO Certification (ICA or ACAMS CAMS); Regulatory updates; Continuing professional development log	Annual	MLRO Readiness
QA Reviewers	QA Methodology; Calibration Workshops	Quarterly calibration sessions	Inter-rater reliability assessment quarterly

ANNEX B SAR QUALITY CONTROL CHECKLIST

Use this checklist to review every SAR before and after filing. Score each item 0 (Not met) / 1 (Partially met) / 2 (Fully met).

#	QC Item	0	1	2	Notes
1	All mandatory SAR fields are completed (subject info, account details, reporter info)				
2	Subject's full identity information is included (name, DOB, address, ID numbers, nationality)				
3	All relevant accounts and transaction reference numbers are listed				
4	Transaction details include: date, amount, currency, direction, channel for each suspicious transaction				
5	The suspicious activity narrative is written in plain English and is factual				
6	The narrative is structured chronologically				
7	The narrative explains WHY the activity is suspicious (not just what happened)				
8	The activity is compared to the customer's expected profile / KYC information				
9	The applicable typology is identified and referenced				
10	The legal basis for suspicion is identified (ML / TF / fraud / other specified)				
11	Prior SARs relating to the same subject are referenced				
12	The investigation lookback period is appropriate (minimum 90 days for P1/P2)				
13	Counterparty due diligence has been performed and documented				
14	Screening results (sanctions, PEP, adverse media) are referenced and current				
15	MLRO decision is documented with clear reasoning in the Decision Log				
16	Consent requirement has been assessed; consent requested if applicable				
17	Tipping-off risk assessed; customer management plan documented				
18	Supporting documents are attached or referenced with specific document IDs				
19	The SAR was filed within the required timeframe				
20	FIU portal reference number recorded in SAR Register				
TOTAL SCORE (max 40)					

QC Score Interpretation: 36–40 = EXCELLENT | 30–35 = SATISFACTORY | 22–29 = REQUIRES IMPROVEMENT | <22 = INADEQUATE (return for revision)

QC Reviewer:		Date:	
MLRO Sign-off:		SAR Ref #:	